

BubbleGumX Market Insights



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Hello,

Here is my report regarding whether BubbleGumX should expand their product line to include grape-flavored bubble gum. I recommend proceeding with this investment due to the potential for significant profit increases and positive market reception.

Changing Customer Preferences

- **Consumer Survey Findings** - Our research indicates a growing preference for grape-flavored products in the European market
- **External Report** – A recent university study found that industry sales of grape-flavored candies have risen by 13% compared to an average increase of only 4% in other flavors

Competitive Landscape

- **Market Entry** - Several competitors, including CandeeCo and Chomper have recently introduced grape-flavored gum
- **Competitor Performance** - Our main competitor, BubbleHappy, launched a similar product last year and experienced a 15% revenue increase; a recent press release attributed the surge directly to their new grape-flavored offerings

Cost-Benefit Analysis

- **Investment Costs** - Introduction of the new flavor will not require significant capital investment as existing machinery can be utilized
- **Research and Development** - R&D costs are estimated at \$400,000, with a marginal increase in unit cost of \$0.01 per gum

Conclusion: Considering customer trends, competitive actions, and financial implications, expanding into grape-flavored bubble gum is likely to be a profitable venture. The estimated 3-year NPV for this project is positive, reinforcing our recommendation to proceed.

I would like to discuss this further to refine our approach and implementation strategy.

Looking forward to your thoughts.

Sources: Overall sale of grape bubble gum in Europe, Financial report FY19/20 Bubblegumhappy, Financial report FY19/20 BubblegumG cost of R&D